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Meeting 2

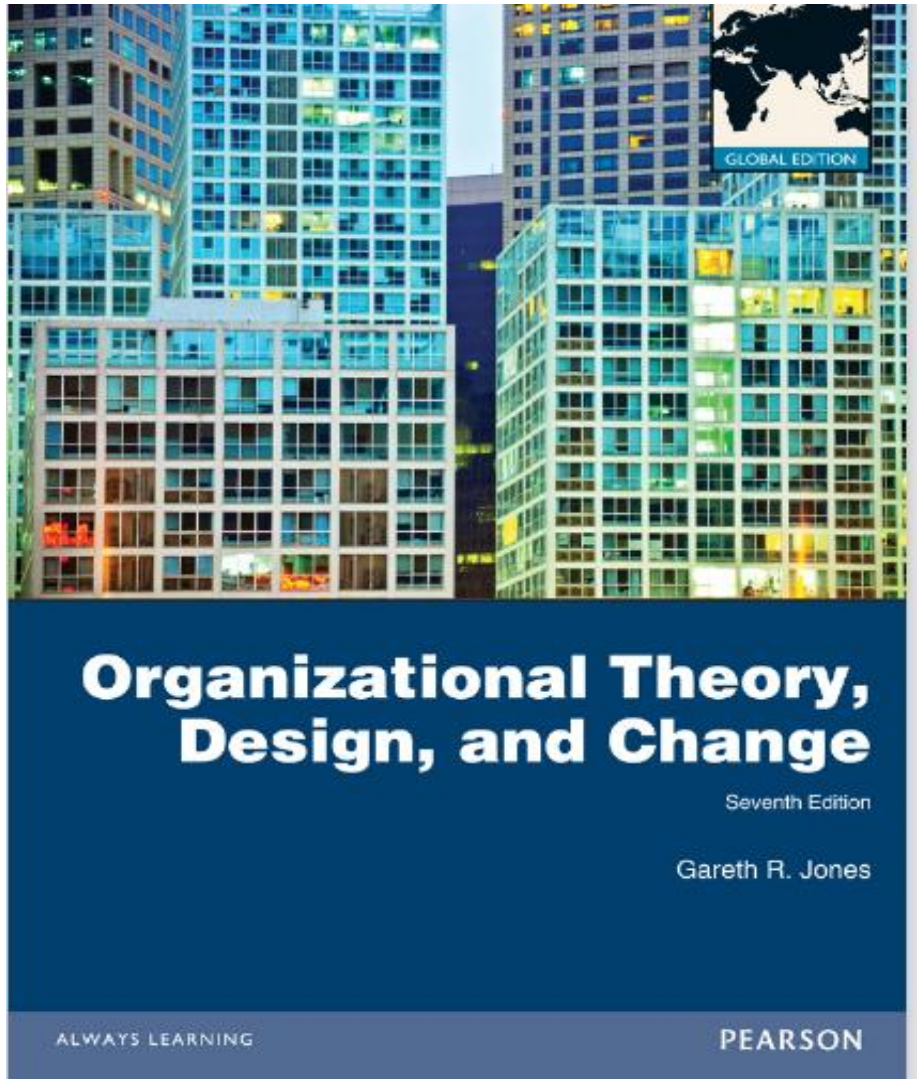
Stakeholders, Managers, and Ethics

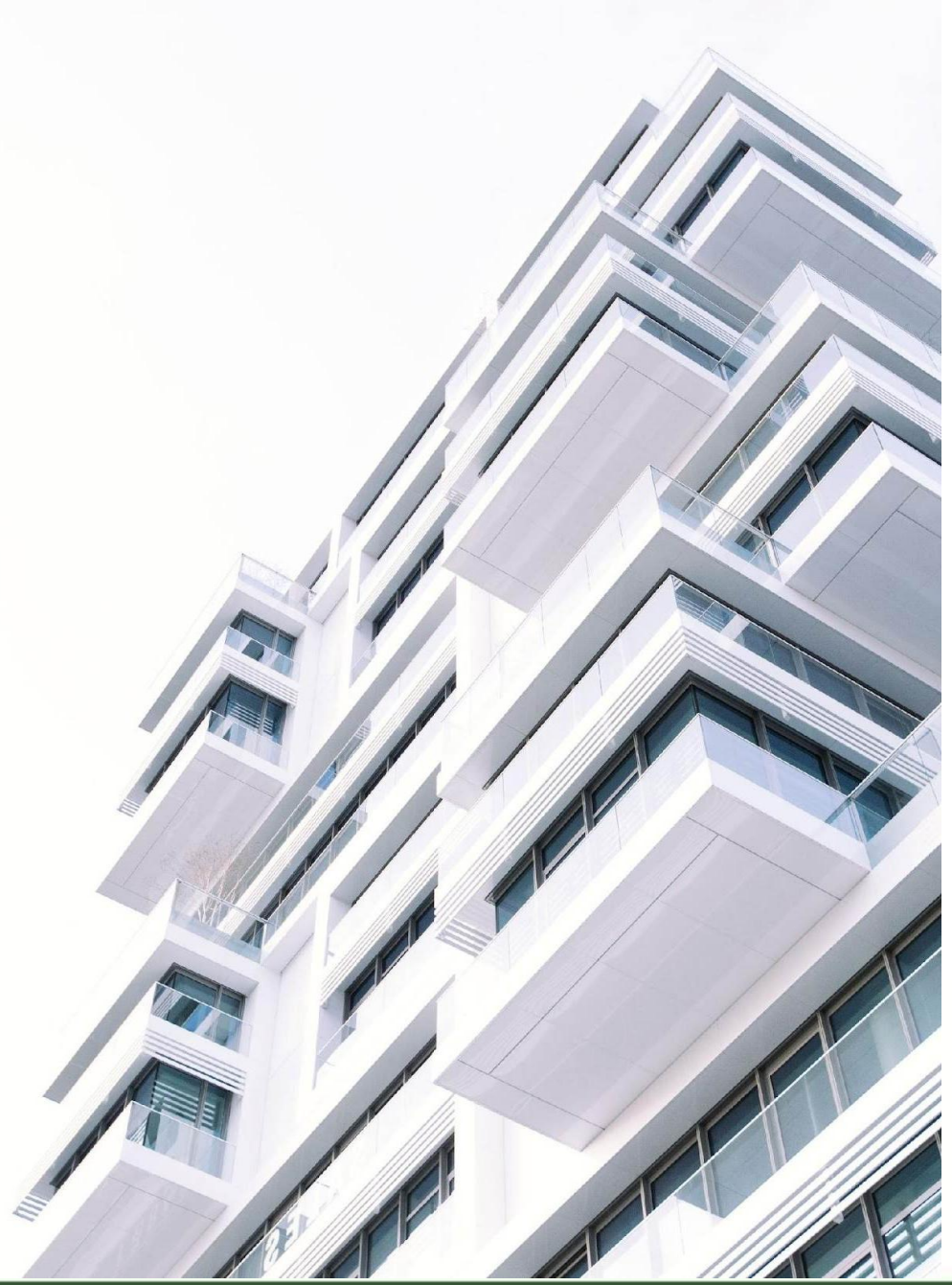


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REFERENCES





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Learning Outcomes

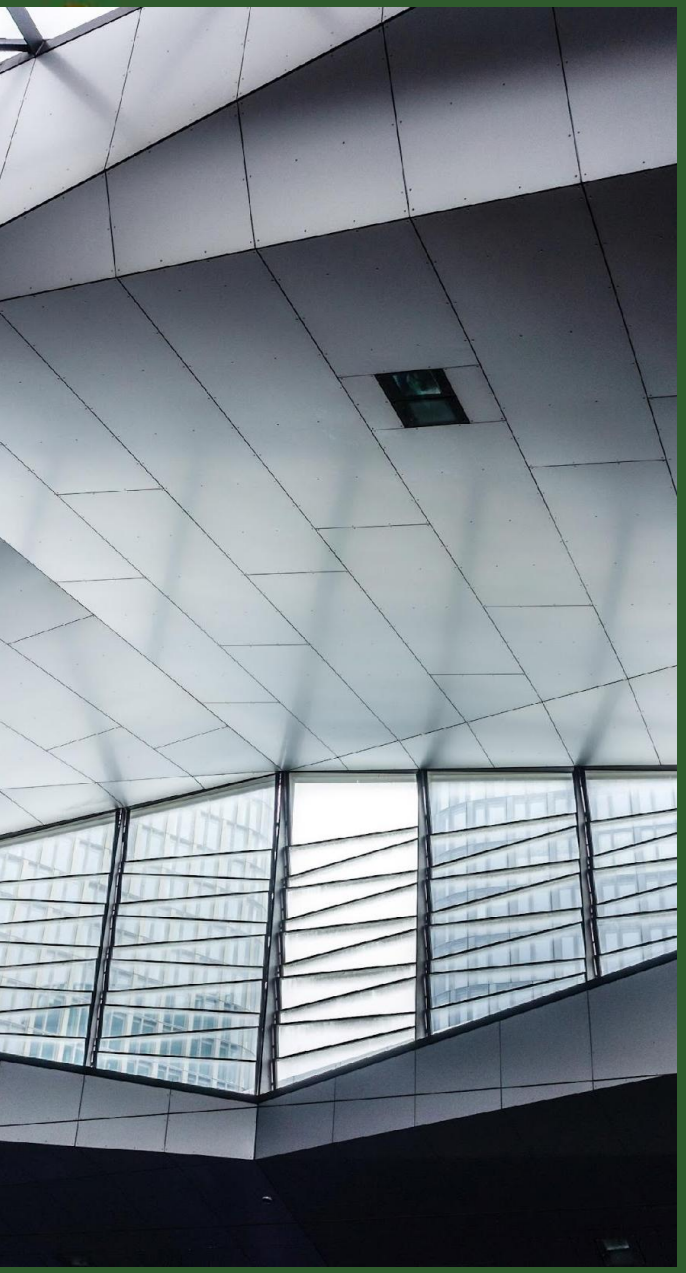
After studying this chapter you should be able to :

1. Identify the various stakeholder groups and their interests or claims on an organization.
2. Understand the choices and problems inherent in distributing the value an organization creates.

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Learning Objectives

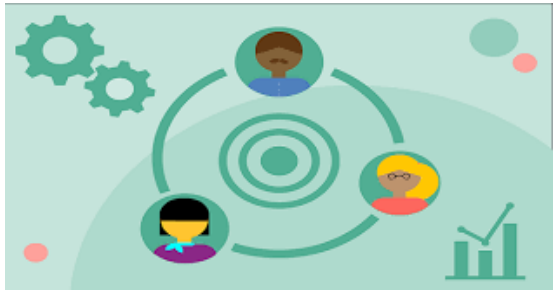
3. Appreciate who has authority and responsibility at the top of an organization, and distinguish between different levels of management.
4. Describe the agency problem that exists in all authority relationships and the various mechanisms, such as the board of directors and stock options, which can be used to help control illegal and unethical managerial behavior.
5. Discuss the vital role that ethics plays in constraining managers and employees to pursue the goals that lead to long-run organizational effectiveness.



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Organizational Stakeholders

- Stakeholders : People who have an interest, claim, or stake in an organization, in what it does, and in how well it performs.
- Stakeholders are motivated to participate in an organization if they receive inducements that exceed the value of the contributions they are required to make



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Stakeholder Relationships

- Stakeholders
  - Any constituencies in the organization's environment that are affected by the organization's decisions and actions
- Why Manage Stakeholder Relationships?
  - It can lead to improved organizational performance.
  - It's the "right" thing to do given the interdependence of the organization and its external stakeholders.

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Managing Stakeholder Relationships

1. Identify the organization's external stakeholders.
2. Determine the particular interests and concerns of the external stakeholders.
3. Decide how critical each external stakeholder is to the organization.
4. Determine how to manage each individual external stakeholder relationship.

Organizational Stakeholders



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TABLE 2.1 Inducements and Contributions of Organizational Stakeholders

Stakeholder	Contribution to the Organization	Inducement to Contribute
Inside		
Shareholders	Money and capital	Dividends and stock appreciation
Managers	Skills and expertise	Salaries, bonuses, status, and power
Workforce	Skills and expertise	Wages, bonuses, stable employment, and promotion
Outside		
Customers	Revenue from purchase of goods and services	Quality and price of goods and services
Suppliers	High-quality inputs	Revenue from purchase of inputs
Government	Rules governing good business practice	Fair and free competition
Unions	Free and fair collective bargaining	Equitable share of inducements
Community	Social and economic infrastructure	Revenue, taxes, and employment
General public	Customer loyalty and reputation	National pride

Organizational Effectiveness: Satisfying Stakeholders' Goals and Interests

- Problems that an organization faces as it tries to win stakeholders' approval:
  1. Choosing which stakeholder goals to satisfy
  2. Deciding how to allocate organizational rewards to different stakeholder groups
  3. Balancing short-term and long-term goals

The Chief Executive Officer

- The person ultimately responsible for setting organizational strategy and policy
- The board of directors gives the CEO the power to set the organization's strategy and use its resources to create value
- CEO can influence organizational effectiveness and decision making in five principal ways.

The Chief Executive Officer (cont'd)

1. The CEO is responsible for setting the organization's goals and designing its structure
2. The CEO selects key executives to occupy the topmost levels of the managerial hierarchy
3. The CEO determines top management's rewards and incentives.
4. The CEO controls the allocation of scarce resources such as money and decision-making power
5. The CEO's actions and reputation have a major impact on inside and outside stakeholders' views of the organization and affect the organization's ability to attract resources from its environment

The Top Management Team

- Line Role
- Staff Role
- Top-Management Team
- Corporate Managers
- Divisional Managers



The Manager: Omnipotent or Symbolic?

- Omnipotent View of Management
  - Managers are directly responsible for an organization's success or failure.
  - The quality of the organization is determined by the quality of its managers.
  - Managers are held accountable for an organization's performance yet it is difficult to attribute good or poor performance directly to their influence on the organization.
- .



The Manager: Omnipotent or Symbolic?

- Symbolic View of Management
  - Much of an organization's success or failure is due to external forces outside of managers' control.
  - The ability of managers to affect outcomes is influenced and constrained by external factors.
    - The economy, customers, governmental policies, competitors, industry conditions, technology, and the actions of previous managers
  - Managers symbolize control and influence through their action.



Top Managers and Organizational Ethics

- Ethical dilemma : The quandary people experience when they must decide whether or not they should act in a way that benefits someone else
- Ethics and the Law
- Ethics and Organizational Stakeholders



Managerial Ethics

- Ethics Defined
  - Principles, values, and beliefs that define what is right and wrong behavior.

Utilitarian, Moral Rights, and Justice Models of Ethics

1. Utilitarian model
   - Managerial implications : Managers should compare and contrast alternative courses of action based on the effect of these alternatives on stakeholders' rights
   - Example : Managers should locate a new manufacturing plant at the place that will most benefit its stakeholders
   - Problems for managers : How do managers choose among the interests of stockholders, workers, and customers?

Utilitarian, Moral Rights (cont'd)

2. Moral rights model
   - Managerial implications : They should choose the course of action that best protects stakeholders' rights.
   - Example : decisions that would involve significant harm to the safety or health of employees or customers are unethical.
   - Problems for managers : If a decision will protect the rights of some stakeholders and hurt the rights of others, how do managers choose which stakeholder rights to protect?

Utilitarian, Moral Rights (cont'd)

3. Justice model
   - Managerial implications : Managers should compare and contrast alternative courses of action based on the degree to which the action will promote a fair distribution of outcomes
   - Example : employees who are similar in their level of skill, performance, or responsibility should receive the same kind of pay
   - Problems for managers. Managers must learn not to discriminate against people because of observable differences in their appearance or behavior

Sources of Organizational Ethics

1. Societal ethics : Codified in a society's legal system, in its customs and practices, and in the unwritten norms and values that people use to interact with each other.
2. Professional ethics : the moral rules and values that a group of people uses to control the way they perform a task or use resources.
3. Individual Ethics : the personal and moral standards used by individuals to structure their interactions with other people.

Why Does Unethical Behavior Occur?

- Personal Ethics
- Self-interest
- Outside Pressure



Creating an Ethical Organization

- Designing an Ethical Structure and Control System
- Creating an Ethical Culture
- Supporting the Interests of Stakeholder Groups



How Managers Can Improve Ethical Behavior in An Organization

1. Hire individuals with high ethical standards.
2. Establish codes of ethics and decision rules.
3. Lead by example.
4. Set realistic job goals and include ethics in performance appraisals.
5. Provide ethics training.
6. Conduct independent social audits.
7. Provide support for individuals facing ethical dilemmas.

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The Value of Ethics Training

- Can make a difference in ethical behaviors.
- Increases employee awareness of ethical issues in business decisions.
- Clarifies and reinforces the organization's standards of conduct.
- Helps employees become more confident that they will have the organization's support when taking unpopular but ethically correct stances.

Effective Use of a Code of Ethics

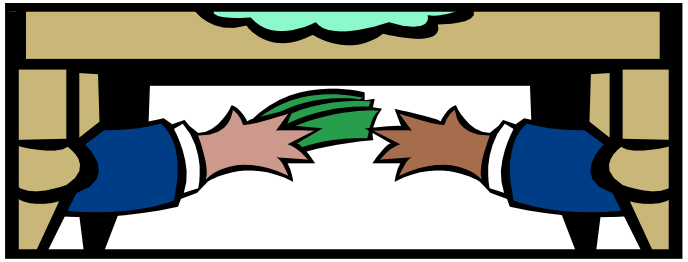
- Develop a code of ethics as a guide in handling ethical dilemmas in decision making.
- Communicate the code regularly to all employees.
- Have all levels of management continually reaffirm the importance of the ethics code and the organization's commitment to the code.
- Publicly reprimand and consistently discipline those who break the code.

Ethical Leadership

- Managers must provide a *good role model* by:
  - Being ethical and honest at all times.
  - Telling the truth; don't hide or manipulate information.
  - Admitting failure and not trying to cover it up.
  - Communicating shared ethical values to employees through symbols, stories, and slogans.
  - Rewarding employees who behave ethically and punish those who do not.
  - Protecting employees (**whistleblowers**) who bring to light unethical behaviors or raise ethical issues.

Ethics in an International Context

- Ethical standards are not universal.
  - Social and cultural differences determine acceptable behaviors.
- Foreign Corrupt Practices Act
  - Makes it illegal to corrupt a foreign official yet “token” payments to officials are permissible when doing so is an accepted practice in that country.
- The Global Compact



CASE STUDY

Topik Tugas Etika Bisnis

1. Kejujuran dalam bisnis (Indofood)
2. Etika dalam pemasaran (Tokopedia)
3. Etika terhadap konsumen (Aqua)
4. Etika terhadap karyawan (TELKOM Indonesia)
5. Etika dalam persaingan bisnis (Gojek)
6. Etika dalam penggunaan media social (PT Timah)
7. Tanggung jawab social Perusahaan (CSR): BCA
8. Green business dan etika lingkungan (Body Shop)

THANK YOU

